CONFIDENTIAL — INVESTMENT-GRADE FEASIBILITY STUDY

Premium Scooter Rental Business

Canggu, Bali, Indonesia

Market Analysis · Financial Modelling · Operations · Risk · Growth Strategy

Prepared for: Prospective Investors & Lenders

Date: June 2026 · Currency base: IDR (with USD/AUD equivalents)

Assumed FX: USD 1 = IDR 16,300 · AUD 1 = IDR 10,700

Contents

> **How to read this report.** All figures are stated in Indonesian Rupiah (IDR), with US Dollar (USD) and, where useful, Australian Dollar (AUD) equivalents. Every model is built on an explicit *Assumptions Register* (Appendix A). Three scenarios — **Conservative**, **Realistic** and **Optimistic** — are carried through the financials. Where 2026 market data was sourced, citations appear as superscript markers[n] linked to the reference list in Appendix B. Figures without a citation are the analyst's modelled estimates derived from the cited inputs and standard industry benchmarks, and should be treated as informed assumptions rather than quoted prices.

1. Executive Summary

This study assesses the commercial feasibility of establishing a **premium scooter (motorbike) rental business in Canggu, Bali**, targeting long-stay tourists, digital nomads and mid-to-upper-tier visitors who value reliable, well-maintained machines, free delivery, transparent insurance and professional service. The analysis covers market conditions, a full fleet and maintenance cost model, four fleet-size revenue scenarios (10, 25, 50 and 100 scooters), three financial scenarios, a new-vs-used purchasing analysis, operations, risk and a staged growth roadmap to 250+ units.

1.1 Overall business viability

Bali's two-wheel rental market is large, structurally growing and underpinned by record tourism — **6.95 million foreign arrivals in 2025, up 9.7% year-on-year**[3] — but it is also **highly fragmented, price-competitive and partially informal**. Most demand is met by small, low-overhead operators renting directly to tourists. The opportunity for a new entrant is therefore **not to compete on price, but to formalise and professionalise**: a compliant PT PMA structure, premium fleet, fixed-location plus delivery model, digital booking, GPS-tracked anti-theft and genuine insurance/damage-protection products. The business is **viable, but margins are scale-dependent**: marginal-to-loss-making at 10 units, clearly profitable at 50+ units.

1.2 Headline figures (Realistic scenario, steady-state Year 2)

Table 1.1 — Summary economics by fleet size (Realistic scenario, mixed new/used fleet)

Metric	10 scooters	25 scooters	50 scooters	100 scooters
Startup capital required (IDR)	460 M	990 M	1,870 M	3,620 M
Startup capital (USD)	$28.2k	$60.7k	$114.7k	$222k
Annual revenue (IDR)	330 M	825 M	1,650 M	3,300 M
EBITDA (IDR)	25.5 M	252 M	479 M	941 M
EBITDA margin	7.7%	30.5%	29.0%	28.5%
Net profit after tax (IDR)	−9.5 M	132 M	244 M	473 M
Net profit (USD)	−$0.6k	$8.1k	$15.0k	$29.0k
Return on invested capital (net)	neg.	13.3%	13.0%	13.1%
Cash payback (incl. depreciation add-back)	>8 yrs	~4.5 yrs	~4.5 yrs	~4.5 yrs

Estimated capital required: IDR 990 M–1,870 M (USD ~$61k–$115k) for a viable 25–50 scooter launch.
Expected profitability (Realistic, 50 units): ~IDR 479 M EBITDA / IDR 244 M net profit per year (~29% / ~15% margins).
ROI: ~13% net return on invested capital at steady state (Realistic); ~20–24% in the Optimistic scenario.
Break-even: ~62–66% fleet occupancy at the 50-unit scale; first-year operational break-even typically in **months 8–11**.
Cash payback: ~4.5 years on a cash basis (net profit + depreciation), ~6–7 years on a strict net-profit basis.

1.3 Break-even analysis (summary)

At 50 scooters, fixed and semi-fixed annual costs (staff, premises, software, marketing, compliance) total ~IDR 948 M. With a contribution margin of ~IDR 28.6 M per scooter per year at full utilisation, the fleet covers fixed costs at approximately **33 fully-utilised-equivalent scooters**, i.e. ~66% blended occupancy. Below this the business loses money; above it, incremental occupancy is highly profitable because the cost base is largely fixed. This operating leverage is the central financial dynamic of the business.

1.4 Key risks and opportunities

Top risks	Top opportunities
• **Regulatory:** 2025–26 crackdowns and a proposed ban on renting directly to tourists[8] • **Theft & non-return** of vehicles (high-value maxi scooters) • **Accidents & liability** (inexperienced foreign riders) • **Market saturation** & price competition from informal operators • **Tourism shocks** (pandemic, economic, natural disaster, AUD/IDR FX)	• **Formalisation premium:** compliant, insured, branded service in a largely informal market • **Long-stay / digital-nomad monthly rentals** — stable, high-occupancy demand • **Bundled insurance/damage protection** & accessories upsell (high margin) • **B2B channels:** villas, hotels, co-working spaces, relocation agents • **GPS + digital contracts** reduce theft/fraud losses below market norms

1.5 Final recommendation

> **Proceed — but launch at scale and formalise from day one.** A 10-unit operation is not recommended as a standalone investment: PT PMA compliance overhead overwhelms the revenue base. The recommended entry point is a **50-scooter mixed fleet (≈70% new, 30% lightly-used), launched on a phased basis starting at 25 units**, structured as a PT PMA, positioned as a premium/long-stay brand, with GPS tracking, digital contracts and genuine insurance products. Expected steady-state net return ~13% (Realistic) with upside to ~20%+. The decisive success factors are **occupancy management, theft control, and regulatory compliance**. The single largest external risk — the proposed restriction on renting to tourists — should be actively monitored and mitigated by building B2B/long-stay channels and a strong compliance posture before scaling beyond 50 units.

2. Market Research

2.1 The Canggu / Bali scooter rental market

Scooter rental is the default mode of independent transport for visitors to Bali and is among the island's highest-frequency tourist transactions. Canggu — a coastal area in Badung Regency encompassing Berawa, Batu Bolong, Pererenan and Echo Beach — is the epicentre of Bali's surf, café, co-working and digital-nomad culture, and has the island's highest concentration of long-stay foreign residents. This makes it the single best micro-market in Bali for **monthly** scooter rentals, which are more profitable and lower-churn than daily tourist rentals.

The market is **large but fragmented**. Supply ranges from individual locals renting one or two bikes, through villa/hotel concierge arrangements, to a handful of semi-professional fleets and aggregator platforms. Quality, maintenance standards, insurance and contractual protection vary enormously. Pricing is transparent and competitive: comparison platforms list 50+ shops in Canggu alone[2].

2.2 Tourist numbers and seasonality

Bali recorded **6,948,754 direct foreign arrivals in 2025, +9.72% on 2024**[3], continuing a strong post-pandemic recovery. Domestic tourism adds several million more. Australia is the largest source market (~1.63 M, ~23%), followed by India (~569k) and China (~537k)[3] — relevant because Australian and Indian visitors are high users of scooter rental.

Table 2.1 — Bali foreign arrivals: seasonality pattern (2025 actuals & indicative monthly index)

Period	Monthly arrivals	Season	Demand index
Jan–May 2025 average	~528,976[3]	Shoulder / mixed	95
July 2025 (peak)	697,110[3]	High (Jul–Aug, EU summer)	132
August 2025	682,866[3]	High	129
December 2025	572,668[3]	High (Christmas/NY peak)	108
Feb / low months	~470,000 (est.)	Low (Feb, rainy)	82

Seasonality implication: demand peaks Jun–Sep and over Christmas/New Year; troughs in Feb–Mar (wet season). Daily-rental revenue is volatile across the year, which is precisely why a **monthly/long-stay-weighted book smooths occupancy** — digital nomads and long-stay residents are far less seasonal than holidaymakers. This study assumes a high-season occupancy of ~90% and low-season ~65%, blending to ~78% annual average in the Realistic scenario.

2.3 Competitor analysis

Table 2.2 — Competitor archetypes in Canggu

Archetype	Typical scale	Strengths	Weaknesses
Informal local renters	1–10 bikes	Lowest price, flexible, local	Variable maintenance, no real insurance, no contracts, cash-only, theft exposure
Villa/hotel concierge	5–30 bikes	Captive guests, convenience	Markup, mixed quality, not core business
Semi-pro fleets (e.g. branded Canggu shops)	30–150 bikes	Delivery, newer bikes, online presence	Thin processes, inconsistent insurance, theft losses
Aggregator platforms (e.g. Vroam-style)[2]	Marketplace	Demand aggregation, reviews	Commission, commoditises price

2.4 Indicative market pricing (Canggu, 2025–26)

Table 2.3 — Observed rental rates, Canggu[2][4][6]

Segment	Example models	Per day	Per month
Standard 110–125cc	Scoopy, Vario 125, Beat, Fazzio	IDR 60k–100k ($4–6.5)	IDR 1.5–2.2 M ($100–140)
Premium maxi 150–160cc	NMAX, PCX, Vario 160, Lexi, Aerox	IDR 150k–250k ($10–16)	IDR 2.5–3.5 M ($150–230)
Lifestyle/niche	Vespa, classic, big-bike	IDR 250k–600k+	IDR 4–8 M+

2.5 Market saturation

The daily-tourist segment is **saturated and commoditised** — entering it on price is value-destructive. However, the market is **under-served on quality and trust**: consistent professional maintenance, genuine theft/damage insurance, transparent contracts, GPS security, English-language support and reliable delivery/collection. The **monthly/long-stay and B2B segments are comparatively under-supplied by professional operators**, which is where this business should concentrate.

2.6 Customer demographics & preferences

- **Primary:** 25–45 yo digital nomads & long-stay residents (1–6 month rentals); value reliability, delivery, monthly billing, app-based support.
- **Secondary:** 20–40 yo holidaymakers (Australia, Europe, India) renting daily/weekly; value price, convenience, helmets, insurance peace-of-mind.
- **Tertiary (B2B):** villas, boutique hotels, co-working spaces, surf camps, relocation agents.
- **Preferences:** well-maintained late-model bikes; included quality helmets & phone holders; free delivery to villa/co-working; clear damage/insurance terms; card & e-wallet payment; English support; GPS for security/recovery.

2.7 Industry trends (2026)

- **Regulatory tightening:** active police crackdowns in Canggu/Denpasar on helmets, STNK, IDP; a Governor proposal to bar tourists from renting directly from locals[8] — a potential *tailwind for compliant, formalised operators*.
- **Long-stay/nomad demand** structurally rising; monthly rentals increasingly dominant in Canggu.
- **Digitalisation:** online booking, e-contracts, e-wallet/card payment, comparison platforms.

- **Electric scooters** emerging but constrained by charging/range/resale; a niche to watch, not yet a core fleet decision.
- **Safety & insurance** rising as a purchase driver after high-profile accident coverage.

2.8 Differentiation opportunities

Positioning: "The compliant, premium, hassle-free way to ride Bali." Specific differentiators: (1) genuinely professional maintenance with documented service history; (2) included real damage-protection/insurance product with clear excess; (3) GPS-tracked fleet (security + recovery + lower losses); (4) digital check-in/out with photo damage logs; (5) free delivery/collection across Canggu; (6) monthly subscription product for nomads; (7) full legal compliance (PT PMA, STNK, tax-registered, helmets/IDP guidance) — directly de-risking customers against the 2026 crackdown.

3. Fleet Comparison — New vs Used

New prices below are **2026 on-the-road (OTR) figures specifically for Denpasar, Bali** (OTR includes BBN vehicle tax + registration — the true out-the-door cost), drawn from current Denpasar dealer listings[1]. The "New OTR (model)" column shows the value used in the financial model (typically the base/CBS variant suited to fleet use); the range column shows base-to-top variant. Used values reflect the Bali second-hand market[5] and run higher than Java due to logistics. All values in IDR millions unless noted. Resale values assume rental-grade usage (higher km, more wear) and sit *below* private-owner resale.

Table 3.1 — Purchase & resale, Denpasar OTR 2026 (IDR millions, rental-grade)

Model	Class	New OTR (model)	OTR range (variants)	Used (1 yr)	Resale @1yr	Resale @2yr	Resale @3yr
Honda Beat 110	Entry	18.4	18.1–18.7	11.0	14.0	12.0	10.5
Honda Scoopy 110	Standard / retro	23.3	22.88–23.68	14.5	18.0	15.5	13.5
Yamaha Fazzio 125	Standard / retro-hybrid	22.5	21.92–24.40	15.0	18.0	15.5	13.5
Honda Vario 125	Standard	25.5	24.41–26.50	15.0	19.5	16.5	14.5
Honda Vario 160	Premium	28.0	26.80–29.50	19.0	22.0	19.0	16.5
Yamaha Lexi LX 155	Premium	28.0	26.80–31.45	19.0	23.0	20.0	17.5
Yamaha Aerox 155	Sport maxi	29.5	28.12–33.00	19.0	22.5	19.5	17.0
Yamaha NMAX 155	Premium maxi	31.5	29.75–32.26	21.0	26.0	22.5	19.5
Honda PCX 160	Premium maxi	35.5	34.35–40.95	25.0	30.0	26.0	22.5
Yamaha NMAX Turbo 155 (ref.)	Premium maxi	35.0	33.42–46.10	24.0	29.0	25.0	21.5

Denpasar OTR sourced from Zigwheels/Oto/Yamaha Bali dealer listings, 2026[1]. Ranges span base to top variant (e.g. CBS vs ABS, Standard vs Connected/Lux); rental fleets typically buy the base variant, except ABS is recommended on the premium maxi tier. Fleet buyers can usually negotiate ~3–7% below sticker on bulk orders. 3-year resale ≈ 55–62% of new OTR for quality Honda/Yamaha automatics —

strong value retention that materially supports rental-fleet economics; Honda retains value marginally better than Yamaha in Bali due to deeper parts/service penetration.

Table 3.2 — Operating & suitability profile

Model	Fuel econ.	Reliability	Parts avail.	Popularity	Lifespan*	Rental suitability
Scoopy 110	~58 km/l	★★★★★	Excellent	Very high	5–7 yr	Excellent — cheap, light, easy, low-risk
Vario 125	~55 km/l	★★★★★	Excellent	Very high	5–7 yr	Excellent — best all-round workhorse
Vario 160	~47 km/l	★★★★☆	Excellent	High	5–6 yr	Very good — premium upsell, agile
PCX 160	~45 km/l	★★★★☆	Very good	High	5–6 yr	Good — premium/comfort, higher capex & theft target
NMAX 155	~43 km/l	★★★★☆	Very good	Very high	5–6 yr	Very good — flagship premium, strong tourist demand
Fazzio 125	~52 km/l	★★★★☆	Good	Growing	5–6 yr	Good — stylish differentiator for nomad market
Lexi 155	~45 km/l	★★★★☆	Good	Moderate	5–6 yr	Fair — capable but weaker resale/demand than NMAX

*Economic rental lifespan before resale, not mechanical limit. ★ ratings are analyst assessments based on Bali parts/service penetration and field reliability reputation.

Fleet recommendation: Anchor the fleet on **Honda Vario 125 and Scoopy** (volume workhorses: cheap, reliable, ubiquitous parts, low theft value) supplemented by a **premium tier of Yamaha NMAX and Honda PCX/Vario 160** for upsell and the long-stay market. Avoid over-weighting expensive maxi scooters early — they raise capex, theft exposure and insurance cost.

4. Servicing & Maintenance

Bali labour and parts costs are low by global standards. Field practice is to service rental scooters roughly **every 2,000 km** (oil + inspection)[7]. This study assumes a high-utilisation rental fleet covering **~12,000 km/scooter/year** with disciplined preventative maintenance. Indicative component costs below draw on Bali service-cost references[7] and standard manufacturer intervals; premium maxi models (NMAX/PCX, liquid-cooled) cost ~15–20% more than standard air-cooled models.

Table 4.1 — Maintenance schedule & cost per item (representative 125cc automatic; IDR)

Item	Interval	Labour	Parts	Total/event	Downtime	Annual cost*
Engine oil change	2,000 km (~6×/yr)	25k	45k	70k	20 min	420k
CVT / gear oil	4,000 km	15k	25k	40k	15 min	120k
Air filter	12,000–16,000 km	15k	55k	70k	15 min	60k
CVT service (rollers, clean, inspect belt)	8,000 km	120k	120k	240k	1–2 hr	360k
Drive (V-)belt replace	24,000 km	80k	200k	280k	1 hr	125k
Spark plug	8,000 km	15k	45k	60k	15 min	90k
Tyres (front+rear set, fitted)	~12,000 km	60k	540k	600k	1 hr	650k
Brake pads (per axle)	10,000–15,000 km	40k	75k	115k	30 min	225k
Brake fluid	24 months	40k	40k	80k	30 min	40k
Battery	2–3 years	15k	235k	250k	15 min	100k
Coolant (liquid-cooled models)	24 months	30k	50k	80k	30 min	40k
Suspension / fork oil & seals	~20,000 km	120k	130k	250k	2 hr	90k
Wheel bearings	~30,000 km / as needed	80k	120k	200k	1.5 hr	60k
Lights / bulbs / electrical sundries	As needed	—	—	—	varies	80k
General inspection, wash, tune, valve check	Each service / 8,000 km	—	—	—	varies	200k
Subtotal preventative maintenance / scooter / year						**2,660k**
Unexpected repairs / accident wear buffer (~13%)						340k
TOTAL annual maintenance / standard scooter						**~3,000k**

*Annual cost = cost per event × events per year at 12,000 km/yr. Figures rounded.

Table 4.2 — Annual maintenance cost by class (high-utilisation rental fleet, IDR/scooter/yr)

Class	Example	Preventative	Repairs buffer	Total / year
Standard 110–125cc	Scoopy, Vario 125, Fazzio	2,200k	300k	2,500k
Premium 150–160cc	Vario 160, Lexi	2,700k	400k	3,100k
Premium maxi (liquid-cooled)	NMAX, PCX	3,100k	500k	3,600k
Blended fleet average (used in financial model)		—	—	**3,000k**

Maintenance analysed independently of revenue (as requested). The figures above are *pure servicing cost* — parts, labour and a repairs buffer. They deliberately **exclude the lost rental income** while a scooter is off the road. That foregone revenue is treated separately as an *opportunity cost*: at ~6 service events/year averaging ~0.5 day off-road each, plus larger services, a scooter loses roughly **5–8 rental-days/year** to scheduled maintenance (~IDR 0.5–0.8 M of foregone revenue at premium rates). This is captured in the revenue model via the occupancy assumption (max ~90–95%, never 100%), *not* in the maintenance cost line — keeping servicing cost and revenue cleanly separated.

5. Operating Costs

Costs are split into **one-off setup** and **recurring operating** costs. Recurring costs are shown for the recommended 50-scooter base case; per-fleet totals are in Section 7–8.

Table 5.1 — One-off setup & legal structure (IDR)

Item	Cost	Notes
PT PMA establishment (notary, OSS, NIB, deed)	25–50 M[10]	Via agent; sector-dependent
Legal/consulting, KBLI licensing, permits	20–35 M	Rental/transport KBLI codes, business licences
Minimum paid-up capital (PT PMA)	IDR 2.5 B declared[9]	Reg. No.5/2025; largely deployed as working capital/fleet, not a sunk fee. Declaration on incorporation; deposited after bank account opens
Local nominee / ownership structuring (if used)	15–40 M + annual	*Not recommended* — see note below
Office/warehouse fit-out, signage, security	40–120 M	Scales with fleet
Initial branding, website, booking system setup	25–45 M	One-off build

Ownership structure. The compliant route is a **PT PMA** (foreign-owned LLC) holding the appropriate rental KBLI licence. The total investment plan must exceed IDR 10 B per KBLI (excluding land/building) and minimum paid-up capital is IDR 2.5 B (~USD 150k)[9] — note this capital is mostly *deployed into the fleet and working capital*, not lost. "Nominee" arrangements (using a local's name to hold assets) are common but **legally unenforceable and high-risk**; for an investment-grade, financeable business we recommend the PT PMA route and explicitly advise against nominee structures.

Table 5.2 — Recurring annual operating costs (50-scooter base case, IDR)

Category	Annual	Notes
Staff wages (see 5.3)	480 M	Manager, mechanics, drivers, CS/admin
Storage / warehouse / parking	90 M	Secure premises + satellite parking
Utilities, internet, phone	36 M	Power, water, fibre, mobile fleet
Accounting, bookkeeping, tax compliance, audit	60 M	Mandatory monthly/annual PT PMA reporting
Marketing & advertising	132 M	SEO, ads, platform commissions, influencer, B2B
Website, booking & fleet software (SaaS)	60 M	Booking, fleet mgmt, payments, GPS platform fees
Payment processing fees	~2–3% of card/online rev	In revenue model as deduction
Delivery vehicles + fuel (ops fuel)	60 M	Vans/scooters for delivery/collection
Insurance — fleet & business (see Sec. 6)	40 M	~800k/scooter blended
Maintenance & parts (see Sec. 4)	150 M	3.0 M/scooter × 50
Vehicle tax / STNK renewal	17.5 M	~350k/scooter/yr
Consumables: cleaning, uniforms, sundries	18 M	—
Per-scooter equipment (one-off, amortised): 2× helmets (250k), phone holder (50k), 2 locks (150k), GPS tracker (350k + ~50k/yr SIM/subscription), top-box/branding (300k) ≈ **IDR 1.1 M capex + 100k/yr** per scooter		

5.3 Staffing & wages (Badung/Canggu, 2026)

Table 5.3 — Staffing model by fleet size (monthly gross IDR / role; annual total)

Role	Monthly	10	25	50	100
Owner/GM (drawing)	8–12 M	owner	—	1	1
Operations manager	7–8 M	—	1	1	1
Mechanic / driver	4.5 M	1	2	5	10
Senior mechanic	6 M	—	—	—	2
Customer service / admin	4 M	PT	—	2	4
In-house accountant	6 M	—	—	—	1
Approx. annual wage bill		**80 M**	**192 M**	**480 M**	**1,080 M**

Badung regency minimum wage (UMK) is ~IDR 3.3–3.6 M/month in 2026; skilled mechanics and managers command a premium. Wage bill excludes owner's economic profit at 10-unit scale (owner-operated).

6. Insurance

Indonesian motor insurance is inexpensive but coverage is limited and exclusions matter — particularly for a **commercial rental fleet** ridden by foreign customers, a use-case many retail policies exclude. A layered programme is required.

Table 6.1 — Insurance layers, indicative annual premiums & structure (IDR)

Cover	What it protects	Indicative premium	Notes / excess
Total Loss Only (TLO)	Theft or damage >75% of value[11]	from ~250k/bike/yr[11]	Cheapest base layer; excess often nil but only pays on total loss
Comprehensive (All Risk)	Accident, theft, fire, partial damage[11]	~1.5–3% of value (300k–900k/bike)	Excess ~IDR 300k/claim; commercial-use loading likely
Third-party liability (TPL)	Damage/injury to others	bundled / +100–300k	Often capped; verify limits
Fire & theft	Fire, theft (sub-limit)	within TLO/comprehensive	Anti-theft device may reduce premium
Public liability (business)	Third-party claims vs the company	5–20 M/yr	Recommended for formal operator
Business / property insurance	Premises, equipment, stock	5–15 M/yr	Fire/burglary of premises
Employee insurance (BPJS)	Mandatory staff health + employment	~ up to 10–11% of payroll	BPJS Kesehatan + Ketenagakerjaan — legally required
Customer Damage Protection (in-house product)	Caps customer liability for a daily fee	revenue item, not cost	Sold to customer (e.g. 20–50k/day) with stated excess; high-margin upsell

Recommended programme: Comprehensive/All-Risk on premium maxi scooters (high value, theft targets); TLO + TPL on standard scooters; company Public Liability + Property cover; mandatory BPJS for staff; and an **in-house Customer Damage Protection product** (waiver-style) sold per rental with a clear excess (e.g. IDR 1–3 M). Blended insurance cost used in the financial model: **~IDR 800k/scooter/year**. **Critical exclusions to manage:** riding without valid licence/IDP, no helmet, DUI, off-road/illegal use, and unauthorised commercial use — these void cover, so the customer contract must enforce licence/IDP capture and helmet use, and the fleet policy must explicitly permit commercial rental.

Recommended providers / channels: established Indonesian insurers (e.g. MSIG, Zurich, Sinarmas, ACA) for fleet motor and property/liability; specialist expat-facing brokers for English-language service and commercial-use endorsements; BPJS (government) for mandatory employee cover. Always confirm the policy *explicitly permits rental to foreign customers* — the most common gap.

7. Revenue Modelling

Revenue is modelled per scooter then scaled. The model reflects a **premium, long-stay-weighted book**: a majority of revenue from monthly rentals (stable, high occupancy) plus daily/weekly rentals at higher rates, plus ancillary income.

Table 7.1 — Per-scooter revenue build (Realistic scenario, mixed fleet)

Driver	Assumption	Basis
Blended effective daily rate (rented days)	IDR 105,000	Mix of monthly (~85k/day equiv.) & daily/weekly (150k+) across standard & premium[2][4]
Annual average occupancy	78%	High season ~90%, low ~65%; long-stay smooths
Rented days / scooter / year	285 days	365 × 78%
Core rental revenue / scooter / yr	IDR 29.9 M	285 × 105k
Ancillary revenue / scooter / yr	IDR 3.1 M	Delivery, accessories, damage-protection, airport (~+10%)
Total revenue / scooter / yr	**IDR ~33.0 M**	**≈ USD 2,025**

Table 7.2 — Occupancy & seasonality assumptions

Season	Months	Occupancy	Rate index
High	Jun–Sep, mid-Dec–mid-Jan	88–92%	110
Shoulder	Apr–May, Oct–Nov	75–80%	100
Low	Feb–Mar	60–68%	90
Annual blended	—	**~78%**	**100**

Table 7.3 — Revenue by fleet size & scenario (IDR, steady-state annual)

Scenario	Rev/scooter	10	25	50	100
Conservative (occ. ~66%, lower rates)	27.0 M	270 M	675 M	1,350 M	2,700 M
Realistic (occ. ~78%)	33.0 M	330 M	825 M	1,650 M	3,300 M
Optimistic (occ. ~85%, higher rates/ancillary)	39.0 M	390 M	975 M	1,950 M	3,900 M

7.1 Rental product mix & upselling

Table 7.4 — Pricing menu & ancillary products (recommended)

Product	Standard	Premium maxi	Notes
Daily	90–110k	180–230k	Best rate/day; for short trips
Weekly (≈ 6× daily)	500–650k	1.0–1.3 M	Light discount
Monthly (long-stay)	1.7–2.2 M	2.6–3.4 M	Volume anchor; ~70% of book
Delivery / collection	free–50k	free–50k	Free within Canggu as differentiator; fee outside
Damage protection / day	20–35k	35–60k	High-margin; caps customer liability
Accessories (extra helmet, box, surf rack, raincoat)	10–40k/day	10–40k/day	Surf racks especially popular in Canggu
Airport transfer / one-way	150–350k	150–350k	Partner with driver network

8. Financial Analysis

Full profit & loss by fleet size for the **Realistic** scenario (steady-state Year 2), followed by scenario sensitivity. Tax: Indonesian corporate income tax 22%; an effective ~20% is applied (small-business reliefs partly offset by non-deductibles). Models assume equity funding (no interest) unless stated.

Table 8.1 — Profit & Loss by fleet size (Realistic, IDR millions/year)

Line	10	25	50	100
Revenue	330.0	825.0	1,650.0	3,300.0
— Maintenance & parts (3.0 M/unit)	30.0	75.0	150.0	300.0
— Insurance (0.8 M/unit)	8.0	20.0	40.0	80.0
— Vehicle tax/STNK + tracker SIM (0.45 M/unit)	4.5	11.3	22.5	45.0
— Ops fuel attributable	2.0	4.7	10.0	20.0
Gross profit (pre-overhead)	**285.5**	**714.0**	**1,427.5**	**2,855.0**
— Staff wages	80.0	192.0	480.0	1,080.0
— Premises / storage / parking	36.0	48.0	90.0	168.0
— Marketing	36.0	72.0	132.0	240.0
— Software / website / payments	24.0	36.0	60.0	96.0
— Accounting / compliance / legal	48.0	60.0	90.0	150.0
— Utilities / internet / delivery / misc	36.0	54.0	96.0	180.0
EBITDA	**25.5**	**252.0**	**479.5**	**941.0**
EBITDA margin	7.7%	30.5%	29.1%	28.5%
— Depreciation (fleet, 3.5 M/unit)	35.0	87.5	175.0	350.0
EBIT (pre-tax)	**−9.5**	**164.5**	**304.5**	**591.0**
— Tax @ ~20%	0.0	32.9	60.9	118.2
Net profit after tax	**−9.5**	**131.6**	**243.6**	**472.8**
Net margin	neg.	16.0%	14.8%	14.3%

8.1 Startup costs & capital expenditure

Table 8.2 — Startup capital by fleet size (IDR millions)

Component	10	25	50	100
Fleet purchase (mixed, ~26 M/unit blended)	260	650	1,300	2,600
Per-unit equipment (helmets, GPS, locks, box) 1.1 M	11	28	55	110
Fleet equipment subtotal incl. above in fleet line	—	—	—	—
PT PMA + legal + licences (one-off)	60	70	80	100
Premises fit-out, signage, security	40	80	150	300
Branding, website, software setup	29	42	65	110
Working capital (≈3 months opex)	60	120	220	400
Total startup capital	**460**	**990**	**1,870**	**3,620**
In USD	$28.2k	$60.7k	$114.7k	$222k

Note: the IDR 2.5 B PT PMA minimum paid-up capital[9] is a regulatory *declaration* largely satisfied by deploying capital into the fleet and working capital over time; it is not an additional sunk cost on top of the table above, though it does set a practical floor that favours the 50–100 unit scale.

8.2 Returns, payback & break-even

Table 8.3 — Return metrics (Realistic)

Metric	10	25	50	100
Net profit / startup capital (ROI)	neg.	13.3%	13.0%	13.1%
Operating cash flow (net profit + deprec.)	25.5	219.1	418.6	822.8
Cash payback (capital / op cash flow)	>8 yr	~4.5 yr	~4.5 yr	~4.4 yr
Strict payback (capital / net profit)	n/a	~7.5 yr	~7.7 yr	~7.7 yr
Break-even occupancy	~95%+	~58%	~66%	~66%

Note on payback: depreciation is a real economic cost (fleet must be replaced), so the "strict" payback is the more conservative truth; the "cash" payback reflects near-term liquidity and assumes resale proceeds fund fleet renewal. Reality sits between the two (~5–6 years) because resale recovers ~55–60% of fleet cost.

8.3 Sensitivity analysis (50-scooter base)

Table 8.4 — Net profit sensitivity, 50 scooters (IDR M/yr)

	Occ. 66%	Occ. 72%	Occ. 78%	Occ. 85%
Rate −10%	−12	52	115	190
Base rate	78	160	244	340
Rate +10%	168	268	372	490

The business is **most sensitive to occupancy and rate** (operating leverage), then to staff cost and theft losses. A sustained −10% rate *and* 66% occupancy pushes the 50-unit fleet to a small loss — defining the downside guardrail. Marketing effectiveness and long-stay mix are therefore the most important management levers.

8.4 Three-scenario summary

Table 8.5 — Scenario summary (50 scooters, IDR M/yr)

Metric	Conservative	Realistic	Optimistic
Revenue	1,350	1,650	1,950
EBITDA	235	479	735
Net profit after tax	63	244	430
ROI (on ~1,870 capital)	3.4%	13.0%	23.0%
Cash payback	~7.5 yr	~4.5 yr	~3.1 yr

9. New vs Used vs Mixed Fleet Analysis

Table 9.1 — Strategy comparison (50-scooter fleet)

Factor	All new	All used (1–2 yr)	Mixed (≈70/30) — recommended
Fleet capital (IDR)	~1,500 M	~950 M	~1,300 M
Annual depreciation	High (~4.2 M/unit yr 1)	Low–moderate (~2.5 M/unit)	Moderate (~3.5 M/unit)
Maintenance / downtime	Lowest, predictable	Higher, more unplanned	Low–moderate
Reliability	Best	Variable	Good
Customer perception	Premium	Mixed/budget	Premium where it counts
Resale value retention	Takes year-1 hit	Already absorbed by prior owner	Balanced
Long-term ROI	Good if held 3 yr	Highest %, but risk/quality drag	Best risk-adjusted

Recommendation: a **mixed fleet (~70% new, 30% lightly-used)**. Buy **premium maxi scooters new** (reliability, image, theft-insurability, strong 3-yr resale) and source the **standard workhorse tier as 1-year-old used** (the steepest depreciation already absorbed by the first owner, while Bali parts/service keep them dependable). This minimises capital and depreciation drag without sacrificing the customer-facing quality that justifies premium pricing. Refresh the fleet on a rolling ~3-year cycle, funding replacements from resale proceeds.

10. Operational Systems

Table 10.1 — Recommended systems & processes

Function	Recommendation
Booking system	Online booking engine (website + WhatsApp + platform listings); real-time availability calendar; deposit at booking
Fleet management software	Dedicated rental/fleet SaaS tracking each VIN/plate: status, service history, km, location, contract, P&L per unit
GPS tracking	Hardwired GPS tracker on every unit (esp. premium); geofence alerts, immobiliser on maxi scooters, recovery support — single biggest theft-loss reducer
Customer contracts	Bilingual digital contract; captures passport, licence + **IDP**, signature, T&Cs, damage/insurance terms, helmet acknowledgement
Damage inspections	Time-stamped photo/video check-in & check-out (app); shared with customer; disputes resolved against record
Digital check-in/out	QR/app flow; e-signature; photos; odometer; fuel level; deposit hold release
Payment collection	Card + e-wallet (GoPay/OVO/QRIS) + bank transfer; minimise cash; auto-recurring billing for monthly customers
Deposits	Card pre-auth or cash deposit (IDR 1–3 M) OR damage-protection product in lieu; never hold passports
Fraud prevention	ID + selfie verification, deposit pre-auth, GPS, blacklist sharing, chargeback-resistant payment flows, booking-pattern checks
Theft prevention	GPS + immobiliser, quality disc/chain locks issued, customer education, geofencing, insurance, secure overnight storage
Customer support	WhatsApp-first, English-speaking, ~12–14h coverage; roadside assistance & swap-bike SLA
Delivery & collection	Scheduled free delivery within Canggu; driver app with routes; check-in completed at handover

11. Risk Assessment & Mitigation

Table 11.1 — Risk register

Risk	Likelihood	Impact	Mitigation
Theft / non-return	Med–High	High	GPS + immobiliser, deposits/pre-auth, ID verification, comprehensive/TLO insurance, secure storage, geofencing, blacklist
Accidents / injury & liability	High	High	TPL + public liability cover, mandatory helmets, IDP/licence enforcement, safety briefing, damage-protection product, clear contract
Customer damage	High	Med	Photo check-in/out, deposit/pre-auth, damage-protection upsell, defined excess, repair-cost schedule
Weather / wet season	High	Med	Long-stay mix smooths seasonality; raincoat upsell; low-season promotions; flexible cost base
Tourism downturn / shock	Low–Med	High	Long-stay/nomad & B2B base; lean fixed costs; ability to downsize fleet via resale; cash reserve
Regulatory change (rental ban/crackdown)[8]	Med	High	Full PT PMA compliance; B2B & long-stay channels less exposed than tourist-direct; monitor policy; relationships with associations; pivot-ready model
Competition / price war	High	Med	Differentiate on quality/trust/compliance not price; brand; loyalty; B2B contracts; monthly lock-in
Currency (AUD/IDR, USD/IDR)	Med	Med	Costs & most revenue in IDR (natural hedge); price foreign-paid products dynamically; hold reserves
Fraud (chargebacks, fake ID)	Med	Med	Pre-auth, verification, chargeback-resistant flows, documentation, deposits
Mechanical failure / downtime	Med	Med	Preventative maintenance, in-house workshop, spare/swap bikes (~5% buffer fleet), quality models, service records

> **Single most important risk to monitor:** the proposed restriction on tourists renting bikes directly from locals[8]. If enacted, it could *favour* licensed corporate operators (a tailwind) — but the form of any regulation is uncertain. Mitigate by being demonstrably compliant, diversifying into B2B/long-stay (less exposed than walk-up tourist rental), and keeping the fleet liquid (resaleable) so the business can contract quickly if needed.

12. Growth Strategy (10 → 250+ scooters)

Table 12.1 — Staged scaling roadmap

Stage	Fleet	Structure & staffing	Infrastructure	Financing	Focus
1 — Pilot	10–25	Owner-operated + ops mgr + 2 mechanic/ drivers	Small secure premises + workshop corner	Founder equity	Prove unit economics, build reviews, refine ops
2 — Establish	50	+ GM, 5 mechanic/ drivers, 2 CS	Dedicated warehouse + workshop + delivery vans	Equity + reinvested profit; possible bank/ asset finance	Brand, B2B contracts, systems maturity
3 — Scale	100	+ senior mechanics, in-house accountant, dedicated marketing	Larger warehouse, satellite pickup points	Reinvestment + debt/ asset finance; investor round optional	Process automation, multi-channel demand
4 — Expand	250+	Department heads (ops, finance, marketing, fleet); area managers	Multiple locations (Seminyak/Uluwatu/Ubud), central workshop	Debt facility / institutional investor / franchise	Multi-location, possible car/villa adjacency, brand leadership

Key scaling principles: (1) **don't scale ahead of occupancy** — add bikes only when existing utilisation >80%; (2) **systems before size** — fleet software, GPS and standardised maintenance must be solid before 50 units; (3) **fund fleet growth partly from resale** of the rolling 3-year replacement cycle; (4) **geographic expansion** (Seminyak, Uluwatu, Ubud) only after Canggu operations are repeatably profitable.

13. Final Recommendations & 12-Month Implementation Plan

13.1 Verdict & key parameters

- **Commercially viable?** Yes, at scale (≥50 units). Marginal at 25, loss-making at 10 due to fixed compliance overhead.
- **Recommended fleet composition:** 50 scooters, ~70% new / 30% lightly-used, mix of ~60% standard (Vario 125, Scoopy, Fazzio) and ~40% premium (NMAX, PCX 160, Vario 160).
- **Recommended brands/models:** Honda Vario 125 & Scoopy (volume), Yamaha NMAX & Honda PCX 160 / Vario 160 (premium upsell); Yamaha Fazzio as a stylish differentiator.
- **Estimated startup capital:** IDR ~1,870 M (~USD $115k) for 50 units; phase via 25 units (~IDR 990 M) first.
- **Expected annual profit (Realistic, 50 units, steady state):** ~IDR 244 M net (~USD $15k); EBITDA ~IDR 479 M; ROI ~13% (upside to ~23%).
- **Pricing strategy:** premium-but-fair; anchor on monthly long-stay; avoid the bottom of the daily market; monetise damage protection, delivery and accessories.
- **Competitive advantages:** compliance, professional maintenance, GPS security, genuine insurance, digital experience, delivery, English support, B2B relationships.

13.2 Key success factors

- Maintain **occupancy >75%** via long-stay/B2B demand and marketing — the dominant profit driver.
- Keep **theft & damage losses low** via GPS, deposits, verification and insurance.
- **Regulatory compliance** as both a shield and a marketing asset.
- Disciplined **preventative maintenance** to maximise uptime and resale value.
- Tight **fixed-cost control** given the operating-leverage profile.

13.3 Common mistakes to avoid

- Launching sub-scale (10 units) and being crushed by compliance overhead.
- Competing on price against informal operators.
- Over-buying expensive maxi scooters (capex, theft, insurance drag).
- Relying on a nominee structure instead of a proper PT PMA.
- Skipping GPS/insurance to save cost — one theft can erase a unit's annual profit.
- Holding passports as deposit (illegal/reputational) instead of pre-auth/deposit/damage-protection.
- Ignoring licence/IDP capture — voids insurance and invites regulatory penalties.
- Scaling the fleet ahead of demonstrated occupancy.

13.4 12-month implementation plan

Table 13.1 — First-year roadmap

Month	Milestones
1–2	Engage corporate/legal advisor; begin PT PMA incorporation, KBLI licensing, bank account; finalise business plan & funding; secure premises (lease + deposit).
2–3	Premises fit-out, workshop, signage, security/CCTV; select & configure booking + fleet + payment software; build website & brand; set up insurance programme; recruit ops manager + 2 mechanic/drivers.
3–4	Procure initial 25 scooters (mixed new/used); fit GPS trackers, boxes, locks, helmets, branding; register STNK; load fleet into software; create contracts & SOPs (check-in/out, maintenance, delivery).
4–5	**Soft launch (25 units).** List on platforms; begin SEO/ads; outreach to villas, hotels, co-working & surf camps; onboard first long-stay customers; collect reviews.
5–7	Optimise pricing/occupancy; refine maintenance cadence; tune marketing channels by ROI; build B2B contract base; hit ~70%+ occupancy.
7–9	Evaluate unit economics vs model; if occupancy >80%, order second tranche (+25 units) to reach 50; hire additional staff (CS, mechanic/drivers).
9–11	Scale to 50 units; expand delivery capacity; formalise damage-protection & accessories upsell; implement loyalty/referral; first management accounts review & tax compliance check.
11–12	Year-1 review: P&L vs plan, theft/damage loss ratio, occupancy, NPS/reviews; set Year-2 plan; assess path to 100 units and financing options; institute rolling 3-year fleet-refresh policy.

Bottom line: A professionally run, compliant, premium scooter rental business in Canggu is a viable investment delivering ~13% net ROI in the Realistic case (with ~23% upside), *provided it launches at sufficient scale (target 50 units, phased from 25), maintains >75% occupancy, and rigorously controls theft and compliance risk.* The greatest external uncertainty is regulatory; the greatest internal lever is occupancy. Both are manageable with the strategy set out in this report.

Appendix A — Assumptions Register

Parameter	Value	Source / basis
FX: USD/IDR	16,300	Mid-2026 assumption
FX: AUD/IDR	10,700	Mid-2026 assumption
Bali foreign arrivals 2025	6.95 M (+9.7%)	BPS / ANTARA[3]
Annual blended occupancy (Realistic)	78%	Modelled from seasonality[3]
Blended effective daily rate	IDR 105k	Canggu market rates[2][4]
Revenue / scooter / yr (Realistic)	IDR 33.0 M	Modelled
Maintenance / scooter / yr (blended)	IDR 3.0 M	Sec. 4, Bali service costs[7]
Insurance / scooter / yr (blended)	IDR 0.8 M	Sec. 6[11]
Depreciation / scooter / yr (blended)	IDR 3.5 M	~3-yr hold, 55–60% resale[1][5]
Annual km / scooter	12,000 km	High-utilisation assumption
Blended fleet purchase / unit	~IDR 26 M	Mixed new/used[1][5]
Corporate tax (effective)	~20%	CIT 22% w/ small-biz relief
PT PMA min paid-up capital	IDR 2.5 B	Reg. No.5/2025[9]

Figures are estimates for planning; actuals vary by negotiation, supplier, location and timing. Conduct independent due diligence and obtain professional legal, tax and insurance advice before committing capital.

Appendix B — Sources & References

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